MODEL QUESTIONS

XL8OQ

Part – A

Multiple choice questions

1. A Bank is a

    a) Financial institution
    b) Corporate
    c) An Industry
    d) Service institutions

2. A Commercial Bank is an institution that provides services

    a) Accepting deposits
    b) Providing loans
    c) Both a and b
    d) None of the above

3. The Functions of commercial banks are broadly classified into

    a) Primary Functions
    b) Secondary functions
    c) Other functions
    d) a, b, and c

4. Bank credit refers to

    a) Bank Loans
    b) Advances
    c) Bank loans and advances
    d) Borrowings

5. Credit creation means.

    a) Multiplication of loans and advances
    b) Revenue
    c) Expenditure
    d) Debt

6. NBFI does not have.

    a) Banking license
    b) government approval
    c) Money market approval
    d) Finance ministry approval

7. Central bank is ---------- authority of any country.

    a) Monetary
    b) Fiscal
    c) Wage
    d) National Income

8. Who will act as the banker to the Government of India?

    a) SBI
    b) NABARD
    c) ICICI
    d) RBI

9. Lender of the last resort is one of the functions of.

    a) Central Bank
    b) Commercial banks
    c) Land Development Banks
    d) Co-operative banks

10. Bank Rate means.

    a) Re-discounting the first class securities
    b) Interest rate
    c) Exchange rate
    d) Growth rate

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